

Development Options Study

Vacant land — S Northgate Ave, Portland, Oregon 97219 · Multnomah County tax account R547474
0.58 acres (25,281 sq ft) flag lot adjoining the owners' residence · Zoning R20, City of Portland

DRAFT v1 — July 20, 2026 · Pending: preliminary title report (disclosed non-utility easement unidentified)

Executive summary

The subject property is a 0.58-acre (25,281 sq ft) vacant flag lot whose access pole fronts S Northgate Ave, directly adjoining the owners' current residence at the seam between Portland's Collins View area and unincorporated Dunthorpe. PortlandMaps confirms the parcel has been **annexed into the City of Portland** (jurisdiction "Portland / Multnomah," City Council District 4) and carries a **clean R20 base zone** with no overlay letters observed. That combination is unusually favorable: Portland's Residential Infill Project rules allow far more than one house here, while the annexation replaces Multnomah County's short-term-rental prohibition with Portland's narrower accessory-STR program.

Four development paths are evaluated. The strongest all-around fit for the owners' stated goals — rental income plus space for visiting family — is **Option A: a right-sized rental house with a detached ADU**. **Option B (duplex)** is the best pure-yield alternative; **Option C (single house)** is the simplest, lowest-risk build; **Option D (consolidating the lot with the owners' existing property)** is the best lifestyle path and the only one with a lawful short-term-rental route. All figures are planning ranges (roughly ±25%) pending geotechnical work, utility quotes, and the title report.

Location	S Northgate Ave, Portland, OR 97219 — flag lot; pole meets the S Northgate Ave public right of way
Tax account	R547474 (Multnomah County). Note: aggregator sites show a sibling record, R547473 — not this parcel.
Size / shape	0.58 acres (25,281 sq ft) per PortlandMaps; flag body sits behind neighboring rear yards
Jurisdiction	City of Portland (annexed) · Council District 4 · neighborhood area "MC Unclaimed #13"
Zoning	R20 — Residential 20,000. No c / p / z overlay letters observed; confirm on the official zoning map.
Schools	Riverdale School District 51J (a materially positive rental-demand factor)
Survey	Record of Survey No. 68582, filed May 18, 2023 (Centerline Concepts Land Surveying, Inc.)
Disclosure	Oregon REALTORS Form 3.3 Seller's Vacant Land Disclosure, signed June 29, 2026
Status	Under contract; preliminary title report pending — findings to be folded into this study

1. Property and site

1.1 Parcel composition and the legal-lot question

The 2023 Record of Survey narrative shows the parcel was assembled from several recorded pieces: Lots 2 and 3 of Block 1, "West Palatine Ridge"; a portion of Block 63, "Palatine Hill"; Parcel 3 of Partition Plat No. 2004-35; and the vacated S Northgate Court right of way (a street vacation dating to 1947). Two implications: first, a formal **lot-of-record confirmation** should establish how many legal lots exist inside this single tax account — if more than one, the development math improves materially; second, vacated streets commonly retain public utility easements, which the title report should surface.

1.2 Flag geometry

The pole-and-flag shape cuts both ways. The body is private, quiet, and screened — ideal for a rental dwelling, a family ADU, or a compound. But every service (sewer lateral, water, power, gas) plus a driveway must run the length of the pole on West Hills grade: plan a **\$40K–\$80K site premium** over a conventional lot. If finished structures sit beyond roughly 150 ft of fire-hose lay from the street, Portland generally requires an approved turnaround or residential fire sprinklers; **sprinklers (~\$10K–\$18K) are usually the cheaper fix** and should simply be designed in. Because the body abuts neighbors' rear yards, noise- and light-sensitive uses (a sport court in particular) deserve careful siting.

1.3 Utilities and services (seller disclosure, June 2026)

- Not connected to any utility today; no wells, tanks, or on-site systems; no known contamination; no soil tests performed.
- **Public water:** system access at the boundary — yes; hook-up charge unknown (obtain a quote).
- **Public sewer:** not connected, but available / able to be attached (lateral length and depth down the pole will drive cost).
- **Electric, natural gas, telephone, internet:** all present at the boundary.
- Property lies within a fire-protection service area; no development-permit applications disclosed; no known nearby proposed changes.

1.4 Topography, geology, trees, stormwater

The setting implies cross-slope and a territorial outlook typical of the West Hills. Expect a **geotechnical report** to accompany any building permit; foundations, retaining, and stormwater disposal are the main cost variables. Check PortlandMaps' landslide-susceptibility and slope layers early. Portland's tree code applies at permit (preservation or density standards), and BES will require an approved on-site stormwater approach — infiltration testing determines whether drywells work or detention is needed.

2. Regulatory framework — what R20 allows here

Portland's Residential Infill Project (RIP, 2021) and RIP2 (effective June 30, 2022) extended “middle housing” and ADU allowances into the R10 and R20 zones. Applied to this parcel:

- **One house by right.** Floor-area-ratio limits adopted with RIP2 cap total house size in R10/R20 — plan a right-sized home, not a mansion.
- **Duplex on any buildable R20 lot.** Triplex/fourplex, attached houses, and cottage clusters are allowed in certain areas — confirm map applicability with a planner.
- **ADUs:** a house with up to two ADUs, or a duplex with one ADU, where the infill options apply. ADUs are limited to 800 sq ft (or 75% of the primary unit).
- **Duplex + detached ADU combo:** requires at least 12,000 sq ft of site in R20 (met at 25,281), frontage on a city-maintained street (verify — see §6), and no constrained-sites “z” overlay (none observed).
- **No off-street parking minimums** in single-dwelling zones — helpful on a flag lot.
- **Middle-housing land division** (SB 458) can put each duplex unit on its own saleable lot — but is not allowed on sites with an ADU, and on a flag lot leaves every resulting lot sharing pole-access easements with maintenance agreements. Treat it as a fallback exit, not the plan.
- **No conventional partition:** at 25,281 sq ft the site cannot be split into two standard R20 lots (40,000 sq ft required).

2.1 The accessory-use rule (why Option D requires consolidation)

ADUs, workshops, sport courts and similar are **accessory** uses — they must share a lot with a primary dwelling. None can stand alone on vacant land. So the guest cottage / workshop / court program only works after either (a) building a primary dwelling on this lot, or (b) consolidating this lot with the owners' adjoining residential lot so the existing house becomes the primary dwelling.

2.2 Short-term rental rules

Because the parcel is annexed, Multnomah County's unincorporated-area prohibition on whole-house and ADU short-term rentals does not apply. Portland's program does: a **Type A accessory STR permit** requires the operator to occupy a dwelling on the same site roughly 270+ days per year, so a non-resident whole-home STR on a separate lot is effectively unavailable (Type B conditional use is a commercial-style review, rarely practical in R20). The workable STR route is Option D — owners residing on a consolidated site. One tradeoff: Portland's ADU fee exemption carries a roughly 10-year no-STR covenant; converting the ADU to STR triggers repayment of waived charges.

2.3 Fees

Plan roughly **\$35K–\$60K in system development charges per new primary dwelling** plus permit and plan-review fees (verify current adopted schedules). ADUs are largely exempt from City SDCs with the covenant noted above.

3. Development options

Costs are planning ranges in thousands of 2026 dollars, **excluding land**, inclusive of the flag-lot site premium and fire sprinklers where noted. “Gross yield” adds a \$500K land-basis placeholder (replace with the actual contract price) and is gross of vacancy, operating costs, and property tax.

OPTION A — RECOMMENDED BASELINE

Rental house + detached ADU

A right-sized single-family rental of about 2,400 sq ft in the flag body, paired with an 800 sq ft detached ADU. The house leases long-term; the ADU serves visiting family and can lease long-term when idle. Best overall match to the owners' stated goals.

Cost element	Planning range
Site work / flag premium (driveway, utility runs)	\$40 – \$80
House, ~2,400 sq ft hard cost (\$420–\$500/sq ft)	\$1,000 – \$1,200
Detached ADU, 800 sq ft, all-in (City SDC-exempt with covenant)	\$250 – \$330
SDCs + permits (house)	\$45 – \$75
Fire sprinklers (13D, both structures)	\$12 – \$18
Total (excl. land)	~\$1.35M – \$1.70M

Income potential: house \$4,800–\$5,800/mo; ADU \$2,000–\$2,400/mo when leased — up to \$6,800–\$8,200/mo combined. Approximate gross yield with land: 4–5% (both units leased).

Advantages

- Delivers income and dedicated family space simultaneously; occupancy can flex over time (owners could later occupy either unit).
- ADU rides the City SDC exemption; small units lease quickly given Riverdale schools and Lewis & Clark demand.
- Single-lot, by-right permitting path (no land-use review expected if standards are met).

Watch-outs

- Two structures on a sloped flag = the most site work of the separate-lot paths.
- An ADU on site forecloses a future middle-housing land division; the SDC covenant bars ADU short-term rental for ~10 years.
- FAR caps limit total building size — confirm the program fits early in design.

OPTION B — BEST PURE YIELD

Duplex (hold both units)

A single structure of about 3,000 sq ft containing two ~1,500 sq ft units. One foundation and one roof suit a sloped site; two mid-size units out-earn one large house in this sub-market.

Cost element	Planning range
Site work / flag premium	\$40 – \$80
Duplex, ~3,000 sq ft hard cost (\$385–\$435/sq ft)	\$1,150 – \$1,300
SDCs + permits (two units)	\$80 – \$120
Fire sprinklers (13D)	\$12 – \$18
Total (excl. land)	~\$1.30M – \$1.50M

Income potential: \$3,000–\$3,600 per unit = \$6,000–\$7,200/mo gross. Approximate gross yield with land: 4–4.5%+ — the strongest cash-on-cost of the four paths.

Advantages

- Best income per dollar; two smaller units carry lower vacancy risk than one large home.
- Duplexes are allowed on every buildable R20 lot — no special review.
- Option value: the site also meets the 12,000 sq ft threshold to add a detached ADU later (needs city-maintained frontage; adding it would bar unit division).

Watch-outs

- A duplex product in an estate-scale pocket — invest in design so it reads as one house.
- Unit-by-unit division for separate sale is possible only with no ADU on site, and on this flag it leaves all lots sharing pole easements — workable but clunky; treat as fallback exit.
- Appraisal and financing comps for duplexes are thinner in this neighborhood.

OPTION C — SIMPLEST BUILD

Single rental house

One ~2,400 sq ft house; the simplest permit path, cleanest resale story, and the least to manage. Preserves options: an ADU can be added later, and no entitlement doors close.

Cost element	Planning range
Site work / flag premium	\$40 – \$80
House, ~2,400 sq ft hard cost	\$1,000 – \$1,200
SDCs + permits	\$45 – \$75
Fire sprinklers (13D)	\$8 – \$14
Total (excl. land)	~\$1.10M – \$1.35M

Income potential: \$4,800–\$5,800/mo. Approximate gross yield with land: 3–4% — honest framing: this is a wealth-storage / Riverdale-scarcity appreciation play more than a cash-flow play.

Advantages

- Lowest execution risk and management burden; broadest resale market (single-family).
- Keeps every future option open — add an ADU later, or owners occupy it themselves someday.

Watch-outs

- Weakest income relative to capital deployed; leaves R20 entitlement value on the table.
- Same flag-lot site premium as richer programs, spread over less income.

OPTION D — LIFESTYLE PATH (AND THE ONLY LAWFUL STR ROUTE)

Consolidate with the owners' lot: ADU + workshop + sport court

Consolidate this lot with the owners' adjoining property (a property-line adjustment / lot consolidation through the City), making everything new **accessory to the existing residence**: a detached ADU (the “tiny home” for visiting family), a workshop — optionally with a studio above serving as the ADU — and a sport court in the screened flag body. Fully phase-able; build elements as budget allows. Daily access may even come from the owners' side, trimming pole costs.

Cost element	Planning range
Detached ADU, 800 sq ft (family suite / long-term rental / permitted STR)	\$250 – \$350
Workshop with studio above (combined, if studio serves as the ADU)	\$450 – \$600
Sport court, incl. hillside grading/retaining (unlit simplest)	\$60 – \$120
Utility extensions / shared site work (scope-dependent)	\$30 – \$60
Total (excl. land)	~\$0.8M – \$1.1M full scope (elements can stand alone)

Income potential: ADU \$2,000–\$2,400/mo long-term — or short-term rental under a Type A permit, since the owners reside on the consolidated site (STR use forfeits/repays the ADU SDC exemption). Lowest income ceiling of the four paths; highest lifestyle value.

Advantages

- Delivers the full family wish list — guest quarters, workshop, court — on the most private part of the site.
- Only path with a lawful short-term-rental option; spending can be phased element by element.
- If the owners' existing lot adjoins the flag body, access and utilities may run from their side rather than down the pole.

Watch-outs

- Forfeits the separate lot's standalone value, independent financing, and future independent sale.
- Consolidation is hard to reverse — re-dividing later must meet R20 partition standards, which the combined area may not support. Check before consolidating.
- Sport-court siting abuts neighbors' rear yards: mind noise, setbacks, and lighting/glare standards (an unlit court is simplest).

3.1 Program variants worth knowing

- **The “tiny home.”** Delivered best as the ADU (a full dwelling), or — cheaper — as a no-kitchen guest studio treated as a plain accessory structure: no SDCs and lighter permitting, but it is not a dwelling and cannot be rented separately.
- **Two ADUs.** Where the infill options apply, a house may carry two ADUs — e.g., a garden cottage for family plus a studio over the workshop. Confirm applicability with a planner before counting on it.

4. Side-by-side comparison

	A — House + ADU	B — Duplex	C — House only	D — Consolidation
Cost, excl. land	\$1.35–\$1.70M	\$1.30–\$1.50M	\$1.10–\$1.35M	\$0.8–\$1.1M full scope
Gross income /mo	\$6,800–\$8,200 (both leased)	\$6,000–\$7,200	\$4,800–\$5,800	\$2,000–\$2,400 (ADU)
Approx. gross yield*	4–5%	4–4.5%+	3–4%	~2% — lifestyle-weighted
Short-term rental	No (no on-site resident)	No (no on-site resident)	No (no on-site resident)	Yes — Type A permit; ADU covenant tradeoff
Family guest space	Yes — the ADU	Possible (hold a unit open)	No (until ADU added)	Yes — the ADU
Keeps lot separately saleable	Yes	Yes (unit division = clunky fallback)	Yes	No — consolidated
Key constraint	ADU blocks unit division; most site work	Design fit in estate pocket	Weakest yield	Hard to reverse; court noise siting
Best for	Income + family space together	Maximum cash flow	Simplicity, appreciation	Lifestyle, phased budget, STR

*Gross yield adds a \$500K land-basis placeholder and is gross of vacancy, operating costs, and City of Portland property tax — net yields run materially lower. Replace with actual contract economics.

5. Financial assumptions and method

- Construction costs are July 2026 planning ranges for custom West Hills work: houses ~\$420–\$500/sq ft hard cost; duplex ~\$385–\$435/sq ft; ADUs ~\$310–\$420/sq ft all-in. Treat every figure as ±25% until geotech, concept design, and contractor pricing exist.
- Land basis is a \$500K placeholder drawn from prior-cycle area land listings — substitute the actual contract price.
- Rents are scaled from area comparables and platform estimates (\$4,800–\$7,900/mo for larger Riverdale-district homes) with small-unit demand supported by Lewis & Clark College proximity. Figures are gross — no vacancy, management, maintenance, insurance, or property-tax deductions.
- SDC and permit allowances are planning figures; the City's adopted fee schedules govern and change annually each July.

6. Risk and diligence register

Item	Why it matters	Status / next action
Preliminary title report	Seller discloses easements beyond utility/drainage — instrument unidentified. Also surfaces any Palatine Hill / West Palatine Ridge plat CC&Rs; private deed restrictions can prohibit what zoning allows.	PENDING — order via escrow now; attorney review of any easement burdening the pole or body
Legal-lot / lot-of-record confirmation	Parcel assembled from multiple plat pieces plus a 1947 street vacation; more than one legal lot would upgrade every option.	Open — title officer + City lot-confirmation process
City-maintained street check	Code precondition for the duplex + detached ADU combination at this frontage.	Open — PortlandMaps street layer / PBOT
Official overlay confirmation	Verify no c / p / z overlays and whether infill options (“a”) apply as assumed.	Open — free 15-minute planner appointment or Early Assistance
Geotechnical reconnaissance	West Hills slope and soils drive foundation, retaining, and stormwater budgets.	Open — commission recon before concept design
Utility quotes	Sewer lateral route/depth down the pole; water hook-up charge disclosed as unknown; power/gas service runs.	Open — BES, Water Bureau, franchise utilities
Stormwater infiltration testing	Determines drywell feasibility vs. detention — sets civil design.	Open
Tree survey	Preservation / density standards apply at permit.	Open
Fire access determination	Hose-lay distance drives turnaround vs. 13D sprinklers; assume sprinklers.	Open — confirm at Early Assistance
Boundary staking	Disclosure marks boundary marking “unknown”; 2023 survey set monuments — locate pins on the ground.	Open
Contract economics	Insert actual land price, financing terms, and tax estimates into the model.	Open

7. Suggested sequence

- **Now, pre-closing:** obtain the preliminary title report and the disclosed easement instrument; pose the legal-lot question to the title officer; book the free 15-minute City planner conversation (overlays, street-maintenance status, infill-option applicability); walk the 2023 survey pins.
- **0–60 days after closing:** geotechnical reconnaissance; utility connection quotes; decide the fork — separate-lot income build (A/B/C) versus consolidation compound (D). The fork decision precedes design.
- **60–180 days:** concept design and contractor budget pricing on the chosen path; refine the pro forma with actual land, fee, and financing numbers; submit for permits.

This study is a planning-level synthesis prepared for the owners' internal decision-making. It is not legal, tax, investment, engineering, or brokerage advice, and no figure herein is a bid, appraisal, or code determination. Zoning interpretations, fee schedules, and market figures change; verify every material item with the City of Portland, licensed design professionals, and contractors before committing funds. Prepared July 20, 2026; to be revised on receipt of the preliminary title report.